

Mark Scheme (Results)

Predicted Paper

Pearson Edexcel Level 3 Advanced GCE

in Economics B (9EB0)

Paper 02: Competing in the global economy

MODERATE DIFFICULTY

General Marking Guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme not according to their perception of where the grade boundaries may lie.
- There is no ceiling on achievement. All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

Section A

Question 1(a)

Knowledge/understanding 1, Application 3

Knowledge/understanding: 1 mark for formula: Exports of goods – Imports of goods = Balance of trade in goods (1)

Application: up to 3 marks: £20.1bn (1) – £63.6bn (1) = –£43.5bn (1)

NB: If no working is shown: award 4 marks for –£43.5bn, 3 marks for –£43.5 without units, zero if answer is positive.

(4 marks)

Question 1(b)

Knowledge/understanding 1, Application 2, Analysis 1

Knowledge/understanding: 1 mark for identifying a benefit of joint ventures — e.g. sharing risk, gaining local market knowledge, access to distribution networks (1).

Application: up to 2 marks — e.g. India is a tea-producing country with strong local brands (1); the local distributor brings knowledge of Indian supply chains and retail relationships (1).

Analysis: 1 mark for developing explanation — e.g. reduces risk of market-entry failure, meaning Taylors avoids costly mistakes and is more likely to achieve profitable sales (1).

(4 marks)

Question 1(c)

Knowledge/understanding 1, Application 2, Analysis 1

Knowledge/understanding: 1 mark for a reason indicating UK comparative disadvantage in goods — e.g. UK imports of goods exceed UK exports of goods with most major partners shown (1).

Application: up to 2 marks using Extract A — e.g. UK imports from Germany (£78.1bn) far exceed UK exports to Germany (£36.8bn) (1); UK runs a deficit in goods with 4 of the 5 countries shown (1).

Analysis: 1 mark for developing the reasoning — e.g. suggests the UK has higher relative opportunity costs in producing many manufactured goods, consistent with a mature developed economy focused on services (1).

(4 marks)

Question 1(d)

Knowledge/understanding 2, Application 2, Analysis 2

Knowledge/understanding: up to 2 marks — e.g. consumer tastes and preferences vary between countries (1); cultural, religious or dietary differences affect product acceptability (1).

Application: up to 2 marks — e.g. Indian consumers prefer stronger, spiced tea blends (1); Taylors has developed new recipes specifically for the Indian market (1).

Analysis: up to 2 marks — e.g. tailoring products to local tastes maximises potential sales revenue and builds brand loyalty (1); reduces risk of costly product failure and wasted marketing spend (1).

(6 marks)

Question 1(e)

Knowledge/understanding 2, Application 2, Analysis 2, Evaluation 2

Candidates are expected to draw an AD/AS diagram showing a rightward shift in AD, leading to an increase in real output and the average price level.

- $AD = C + I + G + (X - M)$; an increase in exports (X) raises AD.
- AD shifts right from AD to AD_1 , real output rises from Y to Y_1 and the average price level rises from P to P_1 .
- Higher real GDP contributes to economic growth and may reduce demand-deficient unemployment.
- Improvement in the current account of the balance of payments — potentially reducing any trade deficit.
- Multiplier effect: additional export revenues create further induced consumption by workers and suppliers.
- Evaluation — inflationary pressure if the economy is close to full capacity (where AS is steep).
- Evaluation — higher demand for sterling could appreciate the exchange rate, making exports less competitive and partially offsetting the original gain.
- Evaluation — depends on the size of the multiplier, spare capacity in the economy, and whether export growth is sustained.

Level	Mark	Descriptor
0	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are developed. Judgements may be attempted.
Level 3	6–8	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen. Arguments are developed, using logical, coherent chains of reasoning. A balanced awareness of competing arguments.

Demonstrating application (AO2): Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus; in addition, they may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus. Where questions do not specifically stipulate the use of data or information provided in a stimulus, students must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question.

Question 1(f)

Knowledge/understanding 2, Application 2, Analysis 3, Evaluation 3

- A joint venture allows Taylors to share financial risk with a local partner.
- Local distributor brings knowledge of retail relationships, regulation, and supply chains.
- Faster market entry compared with building a direct-investment operation from scratch.

- Rising urban incomes in India support a growing middle class willing to buy imported branded goods — YED may be elastic for premium tea.
- Shared cultural understanding reduces risk of brand-positioning mistakes.
- India is a tea-producing nation with strong domestic brands — intense competition.
- Evaluation — loss of full control: profits must be shared and strategic decisions negotiated.
- Evaluation — risk of the partner becoming a future competitor once it has learned Taylors' techniques.
- Evaluation — exchange-rate risk on rupee-denominated earnings.
- Evaluation — depends on the length of the JV agreement, the reliability of the partner, and whether Taylors retains control of the brand.

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0	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–4	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	5–7	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, well developed with arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	8–10	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

Demonstrating application (AO2): Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus; in addition, they may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus. Where questions do not specifically stipulate the use of data or information provided in a stimulus, students must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question.

Question 1(g)

Knowledge/understanding 2, Application 2, Analysis 4, Evaluation 4

- UKEF loan guarantees and insurance reduce the risk of non-payment for exporting firms.
- Lower risk encourages SMEs to enter markets they would otherwise avoid, increasing UK exports.
- Higher exports raise AD (X is a component), with a multiplier effect on national income.
- Exporting firms may gain economies of scale, reducing average costs and improving international competitiveness.
- Employment created in exporting firms and their supply chains reduces unemployment.
- Improvement in the current-account balance on the balance of payments.
- Tax revenues from successful exporters may offset UKEF's cost to the taxpayer.
- Evaluation — opportunity cost of £6.5 billion: the money could have been spent on education, the NHS or infrastructure.
- Evaluation — moral hazard: firms may take on riskier contracts knowing they are insured.

- Evaluation — market distortion: large firms with political connections may benefit disproportionately.
- Evaluation — effectiveness depends on whether the support is additional (funding exports that would not otherwise happen) or merely subsidises exports that would have happened anyway.

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Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6–9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, well developed with arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10–12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

Demonstrating application (AO2): Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus; in addition, they may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus. Where questions do not specifically stipulate the use of data or information provided in a stimulus, students must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question.

Question 1(h)

Knowledge/understanding 2, Application 2, Analysis 4, Evaluation 4

- Supply-side policies aim to raise the productive capacity of the economy and improve efficiency.
- Investment in education and training raises human capital, boosting productivity and export competitiveness.
- Infrastructure investment (ports, rail, broadband) reduces firms' costs and improves export logistics.
- Cuts to corporation tax incentivise business investment and innovation.
- R&D tax credits encourage product innovation, allowing UK firms to compete on quality rather than price.
- Deregulation of labour markets can reduce unit labour costs.
- Higher productivity lowers average costs, making UK exports more price-competitive internationally (Extract A shows the UK runs a goods deficit with most major partners).
- Evaluation — supply-side policies have long time lags; benefits may take years to materialise.
- Evaluation — high opportunity cost (e.g. £6.5bn UKEF funding, Extract C) and fiscal constraints limit scope.
- Evaluation — deregulation may harm workers' rights and increase inequality.
- Evaluation — effectiveness depends on relative productivity growth abroad; if competitor countries also invest, UK firms may not gain a relative advantage.
- Evaluation — demand-side factors (exchange rate, global growth) also affect competitiveness and are outside government's direct control.

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Section B

Question 2

Knowledge/understanding 4, Application 4, Analysis 6, Evaluation 6

- Life expectancy at birth measures the average number of years a newborn is expected to live.
- It captures access to healthcare, nutrition, sanitation and safety — aspects GDP per capita does not directly measure.
- Useful for comparing broad development levels: UK life expectancy 81.2 vs Nigeria 54.6 — a striking 26-year gap consistent with development differences.
- South Korea (83.6 years) exceeds the UK (81.2) despite slightly lower GDP per capita — suggests non-income factors matter.
- Mean years of schooling complements life expectancy: UK 13.4 vs Nigeria 7.2 years — reflecting investment in human capital.
- Life expectancy is comparatively easy to measure and widely available.
- Evaluation — does not measure quality of life, only quantity of years.
- Evaluation — national averages mask inequality (e.g. large regional or gender gaps within countries).
- Evaluation — slow to change; improvements in healthcare may take decades to show up.
- Evaluation — does not capture political freedoms, environmental quality or cultural factors.
- Evaluation — HDI combines life expectancy, education and GNI per capita, offering a more rounded picture.
- Evaluation — other useful indicators: infant mortality, GINI coefficient, access to clean water, literacy rates.
- Evaluation — no single indicator is sufficient; a basket of indicators should be used for meaningful comparisons.
- Evaluation — data quality may be weaker in developing economies, limiting reliability of comparisons.

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Level 1	1–4	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted, but fail to connect causes and consequences. Limited attempt to address the question.
Level 2	5–9	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented, but connections between causes and consequences are incomplete. Limited attempt to address the question. Comparisons, judgements or conclusions may be attempted, but are unsupported or generic.
Level 3	10–15	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, developed chains of reasoning, showing understanding of connections between causes and consequences. Arguments are well developed and competing arguments are present although this may lack balance. A conclusion may be attempted but may not show awareness of the significance of competing arguments.
Level 4	16–20	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen and fully integrated to support the argument, well developed and logical, coherent chains of reasoning, showing full understanding of the question. Arguments are fully developed and evaluated. A full awareness of the validity and significance of competing arguments, leading to nuanced and balanced comparisons, judgements or conclusions.

Demonstrating application (AO2): Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus; in addition, they may

select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus. Where questions do not specifically stipulate the use of data or information provided in a stimulus, students must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question.

Section C

Question 3

Knowledge/understanding 4, Application 4, Analysis 6, Evaluation 6

- A tariff is a tax on imports, raising the price of imported goods in the importing country.
- EU tariffs of up to 35% (on top of 10% duty) substantially raise the price BYD can charge European consumers.
- Higher prices reduce quantity demanded — extent depends on PED.
- BYD's cost advantage (selling prices ~25% below European competitors) is partly eroded by tariffs.
- Tariffs reduce BYD's sales volume, revenues and potentially profit in the EU market.
- Vertical integration (batteries, semiconductors, motors) helps BYD absorb some cost pressure.
- BYD's response: relocating production to Hungary (inside the EU) to bypass tariffs — reduces tariff impact long-term.
- New plants in Thailand and Brazil diversify BYD's production geographically, reducing reliance on Chinese exports.
- Evaluation — EV demand may be price-inelastic for premium buyers but elastic for budget-conscious consumers; impact varies by segment.
- Evaluation — tariffs may prompt retaliation (China has threatened retaliatory tariffs on EU exports), which could affect BYD's European business indirectly or help European rivals.
- Evaluation — scale of BYD (3m vehicles in 70+ countries) means it can absorb losses in one market while growing others.
- Evaluation — setting up EU factories requires large capital investment and time; short-term impact of tariffs is more damaging than long-term.
- Evaluation — possibility of non-tariff barriers (safety regulations, data rules) adds uncertainty.
- Evaluation — overall, large MNCs like BYD are better placed than smaller rivals to adapt to tariffs through FDI, but short-term profitability is clearly reduced.

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